Part I

The Corporation

CHAPTER 11: Financing and Listing Securities



Types of Business Structures

Let’s look at the characteristics of each of the following types of business structures:

- Sole Proprietorship
- Partnerships
- Corporations

Types of Business Structures

Sole Proprietorship (or Single Proprietorship)

A business owned by one person who operates it for his or her own profit.

Advantages	Disadvantages
• Own boss	• Unlimited liability
• All profits go to the owner	• Limited management ability
• Easy to establish	• Limitations on size
• Certain tax advantages	• Tax disadvantages

Partnerships

Defined:

A business that consists of two or more owners doing business together for a profit.

General Partnership:

Involved in the day-to-day operations of the business. Risk shared equally, i.e., each of the partners have unlimited liability.

Limited Partnership:

Cannot participate in the daily operations of the business and liability is limited to the amount of the limited partners investment.

Partnerships

Advantages:

- Easier to set up than a corporation
- Can usually raise larger amounts of capital (than a sole proprietorship)
- More management skills

Disadvantages:

- Conflicts
- Unlimited liability
- Limited life
- Limited growth

Corporations

Defined:

A legal entity that can sue, be sued, make and be party to contracts, and acquire property. Companies can be incorporated federally or provincially.

Public:

A corporation that has one or more classes of shares publicly traded.

Private:

A closely held company. Limited number of shareholders.

Corporations

Advantages of Corporations:

- Limited liability
- Continuity of existence
- Transfer of ownership
- Ability to finance
- Growth
- Legal entity
- Professional management

Corporations

Disadvantages of Corporations:

- Loss of flexibility
- Taxation
- Expense
- Capital withdrawal

New Financing for a Corporation

Common Shares

Preferred Shares

Debt



If this is how corporations are financed, why is Retained Earnings singled out in this instance?

Authorized, Issued, Outstanding

- Authorized Shares
- Issued Shares
- Outstanding Shares
- Public Float

What is the relationship and difference between each?

Authorized, Issued, Outstanding

Authorized Shares:

1. The maximum number of common (or preferred) shares which the corporation may issue under the terms of its charter.
2. Usually more shares are authorized than typically issued to shareholders.

Issued Shares:

- That part of the authorized shares which have been issued by the corporation.
- A corporation is not required to issue all of its authorized shares.

Authorized, Issued, Outstanding

Outstanding Shares:

- That part of the issued shares which remains outstanding in the hands of shareholders of the company.
- Often used interchangeably with issued shares.
- Used to determine the ‘market cap’ of a company
  - Total shares outstanding × current market price
- If no redemptions or repurchases of shares are made by the corporation, the total number of shares issued will be the same as the total number outstanding.

Authorized, Issued, Outstanding

Public float

- Issued shares that are outstanding and available for trading by the public.
- Excludes large blocks of shares owned by institutions – mutual funds or pension funds.
- Small float – share price can be greatly impacted by large buy and sell orders.
- Large float – less volatility in share price, as the shares are widely held.

Financing/Underwriting

Financing/underwriting involves:

- Raising debt or equity capital, either publicly or privately.
- Governments bring new issues of debt to market via a competitive tender or fiscal agency process.
- Corporations bring debt & equity to market via IPOs or secondary offerings.

Canadian Government Issues

- The **competitive tender system** is used for most issues by the Canadian Government – a type of auction for the available bonds.
- Only **government securities distributors** (GSDs) are eligible to participate.
- Each GSD is allowed to make a **non-competitive tender** bid.
- GSDs typically include Schedule I and II banks, investment dealers, and certain foreign dealers.

Canadian Government Issues

Canadian Government – How it works

- A fixed amount is available for auction that day: e.g. $2 billion worth of 10-year bonds.
- Each GSD can make up to 7 bids and one non-competitive bid of up to $3 million of the bonds
- Each competitive bid is made on a ‘yield’ basis.
- Primary dealers can bid up to a maximum 40% of the total amount of bonds being offered.
- Each bid is accepted in rising order of yield until the full amount of the auction is allocated.
- Non-competitive tenders are allotted by the Bank of Canada at the average price of the accepted competitive tenders.

Provincial Issues

- New issues of provincial ***direct*** and ***guaranteed*** bonds offered in Canada are usually sold at a **negotiated price** through a ***fiscal agent***.
- A provincial government appoints a group (syndicate) of investment dealers and banks to underwrite issues as well as advise and manage the process of issuing securities.

Municipal Issues

- Likely to be placed in institutional portfolios and pension accounts.
- Municipal bonds and debentures require in-depth knowledge of the tax-generating potential of the local municipal area as well as the industrial base and other demographic information.

Corporate Financing

- Through a **negotiated offering**.
- A brokerage firm's underwriting department negotiates with a company on the:
  - type of security
  - price, interest or valuation multiple
  - special features and protective provisions that are needed to market a new issue successfully

Role of the Investment Dealer

- Reviews the company and advises on:
  - Size of the issue
  - Type of security to offer
  - Timing of the issue
  - Public or private placement
  - Developing the prospectus
  - Setting the offering price
  - Market support

Dealer Relationship

Agent

- Acts on behalf of buyer/seller
- Earn commission
- Does not assume ownership

Principal

- Earn spread on offering price
- Ownership of issue before sold

Method of Offering

Private Placement

- To one or a few large institutional investors
- Typically, no formal prospectus is needed

Public Offering

- Offer to issue securities to the public
- Act as principal or agent
- File a ***prospectus***

Underwriting Forms

Bought Deal

- normally only one dealer buys the entire issue
- sold either as private placement or as public offering using a short-form prospectus
- low spread between dealer's cost and final selling price – which tends to be well below traditional financing costs
- assumes the risk of the position – i.e., acts as principal

Underwriting Forms

Conventional Underwriting

- agency transaction
- attempts to sell as much of the issue as possible

Underwriting Forms

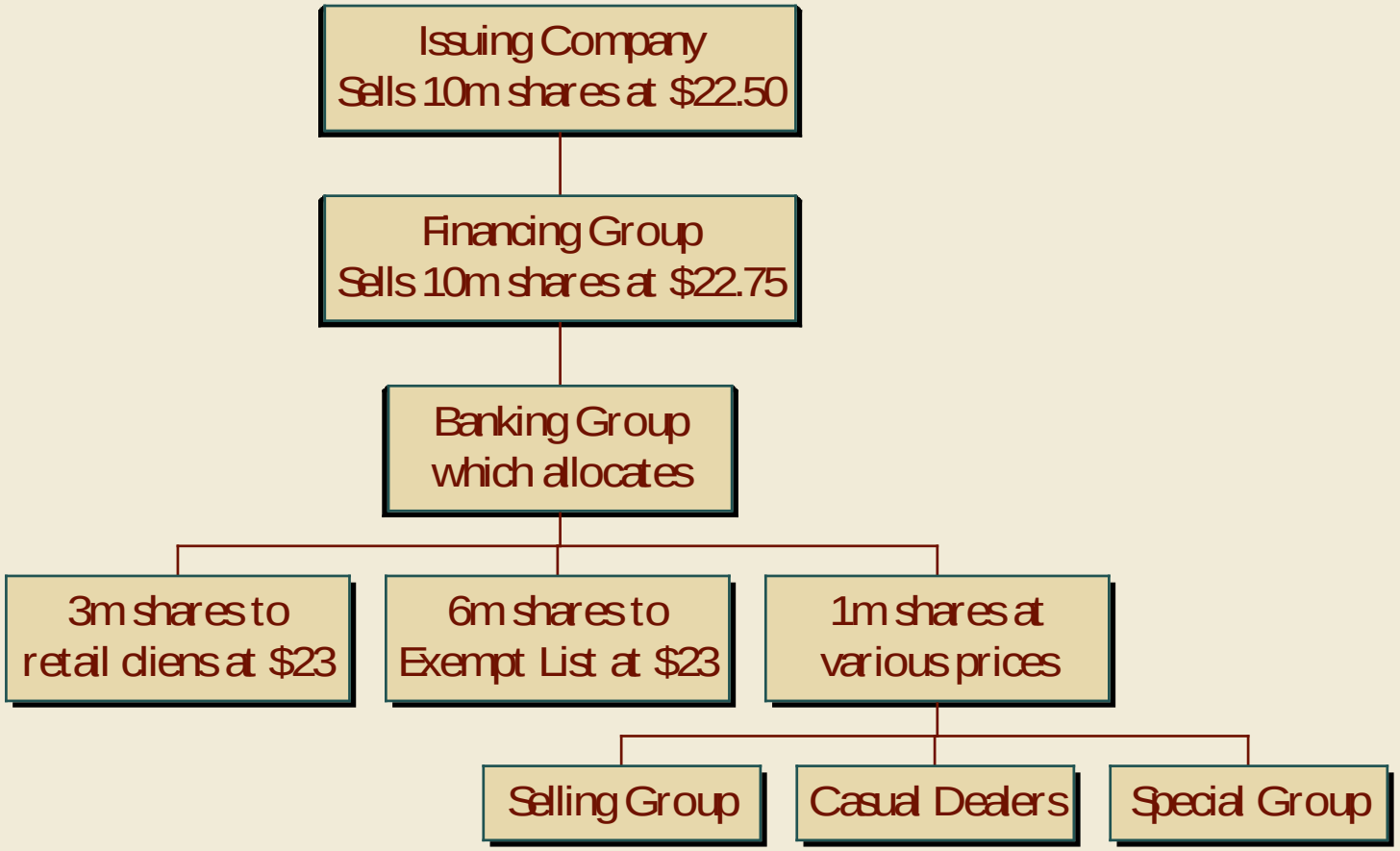
Lead Underwriter (Financing Group)

- has contact with the issuer
- advises the issuer on the new issue details
- participates in document preparation, gets clearance with securities commission

Banking Group (Syndicate)

- lead dealer shares underwriting risk with several dealers and jointly purchase issue from issuer
- larger group of dealers, including lead underwriter
- liable for their individual participation

Underwriting Process



Disclosure Documents

Prospectus

- information document that provides investors with a provincially set minimum amount of information
- provides detailed description of the securities offered, issuing company – history, operations, management, risk, financial statements

Basic principle:

"Full, true and plain disclosure of all material facts related to the securities offered."

Disclosure Documents

Preliminary Prospectus

- Submitted to the provincial securities administrators for review.
- Issuing company then has 90 days to prepare and receive approval for the final prospectus – the '*waiting period'.*
- Called a "Red Herring" prospectus.
- Excludes final price to the market.
- Can be used to solicit expressions of interest in the issue.

Disclosure Documents

Short Form Prospectus System

- Used by senior ***reporting issuers*** who make continuous disclosure.
- Excludes much of the information found in a full prospectus.
- Focuses on information about the security being distributed.
- Key: shortens the time period needed to bring an issue to market.

Short Form Prospectus System

A company can use a short form prospectus if it:

- files electronically using SEDAR
- is a reporting issuer in at least one Canadian jurisdiction
- is up to date in filings in its reporting issuer jurisdictions
- has filed current annual financial statements and a current AIF in at least one Canadian jurisdiction in which it is a reporting issuer
- has not ceased operations
- its principal assets are not cash or cash equivalents
- has equity securities listed or quoted for trading

Advantages/Disadvantages of Listing

Advantages of Listing

- Prestige and goodwill
- Establishes market value
- Excellent market visibility
- More information is available
- Facilitates valuation for tax purposes

Advantages/Disadvantages of Listing

Disadvantages of Listing

- Additional controls on management
- Need to keep market participants informed
- Market indifference – Low trading volume in a listed company is a matter of public record
- Additional disclosure required
- Additional costs to the company

Temporary Trade Interruptions

Delayed Opening

- heavy influx of buy/sell orders before the open

Halt in Trading

- can occur at any time to allow significant news to be reported

Suspension in Trading

- financial condition does not meet the listing requirements of the exchange

Cancelling a Listing: Delisting

Reasons for delisting include:

- The security no longer exists
- The company is bankrupt
- Public float is too small
- Failure to comply with the listing agreement